



FRG CONFLICT OF INTEREST MANAGEMENT POLICY

This policy is not a Group policy and is applicable to TFG Insure *only*

SOUTH AFRICA

In terms of the Financial Advisory and Intermediary Services Act 37 of 2002 (“FAIS”) and the General Code of Conduct for Authorised Financial Services Providers and Representatives (“Code”)



1. INTRODUCTION

Foschini Retail Group (Pty) Ltd (“FRG”) is an authorised financial services provider (“FSP”) (FSP No. 32719) and a subsidiary of the JSE listed company, The Foschini Group Limited (“TFG”). FRG supports the objectives of market conduct regulation, consumer protection and enhancing the integrity of the South African financial services industry. A key component of these objectives is conflicts of interest management. To this end, this policy has been drafted in terms of section 3A(2)(a) of the Code, read together with FAIS.

This policy must be read together with the Disclosure of Interests Policy and Gifts Policy, both of which are available on Vantage, and can be requested from your line manager or Legal Compliance.

2. PURPOSE

This Policy seeks to provide guidance on the management of conflicts of interest by:

- Establishing mechanisms to identify conflicts of interest.
- Putting measures in place to avoid conflicts of interest.
- To ensure that where avoidance is not possible, disclosure of the existence of a conflict of interest takes place.
- Setting up internal control measures which will be used to ensure that this policy is complied with.
- To highlight the consequences of non-compliance with this policy.

This policy sets out details of the types of financial interests which FRG’s representatives and key individuals (“Representative/s”) may receive and the basis on which such financial interest may be received.

3. DEFINITION OF A CONFLICT OF INTEREST

A conflict of interest means any situation in which FRG, or its Representatives has an actual or potential interest that may, in rendering a financial service to a consumer:



- Influence the objective performance of its/his/her obligations to that consumer; or
- Prevent FRG or its Representative from rendering unbiased and fair financial services to that consumer, or from acting in the best interests of that consumer

These interests may include:

- A financial interest
- An ownership interest
- Any relationship with a third party.

These conflicts may occur when FRG or its Representatives do not act in the consumer's best interests.

For the sake of clarity, a financial interest can take the form of cash, cash equivalent, voucher, gift, service, advantage, benefit, discount, domestic or foreign travel, hospitality, accommodation, sponsorship, incentives or other valuable considerations.

This list is not exhaustive and there are exceptions such as certain training initiatives. Training that is publicly available to other providers or representatives, which relates to a product, legal matters relating to products, general financial and industry information or specialised technological systems will not be treated as a conflict of interest, provided that travel and accommodation to attend such training sessions is not covered by the training provider.

This policy aims to ensure that when FRG, or its Representatives render an intermediary service, they do so honestly, fairly, with due care, skill and diligence, and with due regard to the best interests of the consumer at all times.

Generally, conflicts of interest must be avoided, however, where they cannot be avoided, they must be declared, mitigated and managed.

4. GENERAL DETAILS ABOUT FRG

Foschini Retail Group Proprietary Limited is an authorised financial services provider (FSP No. 32719).

Physical Address: Stanley Lewis Centre, 340 Voortrekker Road, Parow East, 7500

Postal Address: P.O. Box 6020, Parow East, 7501



Telephone Number: 021 938 1911
Compliance Officer: nadia@compliserve.co.za

FRG is a company incorporated in terms of South African company legislation. It performs intermediary services under the Long-Term and Short-Term Insurance Acts, Acts 52 and 53 of 1998 respectively, and FAIS in respect of the following product categories:

- Short-Term Insurance Personal Lines
- Long-Term Insurance B1
- Long-term Insurance subcategory B1-A
- Short-term Insurance Personal Lines A1

Guardrisk Insurance Company Limited (FSP No. 75), a licensed non-life insurer and Guardrisk Life Limited (FSP No. 76), a licensed life insurer underwrites all products provided by FRG across the life and non-life portfolio of business.

Guardrisk has issued a specific class of shares to FRG in two special purpose insurance companies known as cell captives. These shares entitle FRG to a share of the underwriting and investment profits and risks in respect of the business written through the Guardrisk cells.

Although as a cell owner, FRG owns shares in the Guardrisk cell captive, this minority shareholding is purely for the purposes of facilitating the cell activities and therefore does not imply any inherent conflict of interest, nor does it affect FRG's capacity as an FSP with respect to the distribution of products to and/or the servicing of its clients.

In terms of this policy, FRG does not consider its involvement in these cells to fall within the definition of an ownership interest as set out in the Code, the context of which relates to the identification of perceived or actual conflicts of interest.

5. WHAT MAY FRG OFFER OR RECEIVE UNDER THIS POLICY?

FRG and its Representatives may only receive or offer the following financial interests from or to a third party:

- Commission or fees authorised under the Short-Term and Long-Term Insurance Acts.



- Fees or remuneration for the rendering of a service to a third party, which fees are a reasonably commensurate to the service which is being rendered.
- An immaterial financial interest (which is a financial interest which does not exceed R1 000 in a calendar year).

6. MECHANISMS TO IDENTIFY A CONFLICT OF INTEREST

A number of measures can be used to identify potential conflicts of interest (please note that this list is not exhaustive), which include:

- Representatives receiving training regarding this policy and conflicts of interest management as a whole.
- Regular monitoring of commissions and fees that are paid or received.
- Annual disclosure opportunities.
- Monitoring of gifts and interests offered or received by FRG and its Representatives on a continual basis.

Representatives must comply with this policy and must accept personal responsibility for behaving in accordance with this policy. Representatives are obliged to stop or prevent any actions which are contrary to this policy and should avoid any situation that may create or appear to create a conflict of interest.

Representatives are obliged to report every suspected or actual transgression of this policy and/or conflict of interest, in writing, to the Compliance Officer. Additionally, all conflicts must be reported on the Vantage platform using the Disclosure of Interests tab, as detailed further below.

7. MEASURES TO AVOID A CONFLICT OF INTEREST

A Representative can take the following measures (please note that this list is not exhaustive) to avoid a potential or actual conflict of interest:

- Avoid any situations where, when conducting business with a consumer, one's objectivity may be impaired.



- If a financial interest already exists, which may lead to a conflict of interests, the Representative must disclose the interest to the Compliance Officer immediately.
- If an ownership interest already exists, which may lead to a conflict of interests, the Representative must disclose the interest to the Compliance Officer immediately.
- Training for Representatives regarding conflicts of interest management and the contents of this policy.

8. MITIGATING A CONFLICT OF INTEREST

In order to mitigate a conflict of interest, FRG will take the following measures:

- Representatives should follow the process set out in this policy regarding disclosures of conflicts of interest.
- If a conflict is identified, the Representative must timeously and fully disclose the conflict to the Compliance Officer who will assist to facilitate a disclosure on the Vantage platform using the Disclosure of Interest tab. Vantage will thereafter be used to manage the conflict as appropriate.
 - Where deemed necessary, a further disclosure *may* be made to affected customers.
- Inform FRG consumers about this policy and how to access it.
- Provide Representatives with a copy of this policy and providing them with training regarding its content.
- Regular monitoring of compliance with this policy in FRG's annual compliance monitoring plan.
- In the event that there is an actual conflict of interest, the Representative must desist from continuing with this activity.
- Where a Representative is uncertain about whether a particular situation is a transgression of this policy, he/she must approach the Compliance Officer who will evaluate the intended transaction and provide guidance.
- Where a conflict of interest that has not been disclosed is identified, the Senior Manager: Insurance, when called upon to do so, must advance reasons why the



policy was not complied with and the measures which will be taken to mitigate the conflict of interest.

9. DISCLOSURE TO CUSTOMERS

If a conflict of interest is identified, the Compliance Officer must be immediately notified in writing. Where necessary, the Compliance Officer will then facilitate the disclosure of the conflict, in writing, to affected consumers at the earliest reasonable opportunity. The disclosure will include the following information:

- The measures that were taken in accordance with this policy to avoid and or mitigate the conflict of interest.
- Any financial or ownership interest that the FRG or its Representatives may obtain or become entitled to (other than immaterial financial interests).
- The nature of the relationship or arrangement with a third party that gave rise to a conflict of interest in sufficient detail to enable the consumer to understand.
- Information about this policy, and how the consumer may access it.

Once the conflict has been reported to the Compliance Officer, the Representative must thereafter report the conflict on the Vantage platform under the Disclosure of Interest tab. The conflict will thereafter be managed through the Vantage platform.

10. PROCESS, PROCEDURES AND INTERNAL CONTROLS TO ENSURE COMPLIANCE

If the Representative is in doubt, whether a situation qualifies as a conflict of interest, he/she should discuss the potential conflict with the Compliance Officer, who will provide guidance on the matter.

The Senior Manager: Insurance will be required to ensure that this Policy is implemented and will on an annual basis warrant to the Compliance Officer, in writing, that the Representatives have met their obligations under this Policy.

Training for all affected staff will be facilitated through Legal Compliance. Training will thereafter take place on an annual basis.



The Compliance Officer will monitor compliance with this policy and will perform an annual review of the policy to ensure that it maintains regulatory requirements.

11. CONSEQUENCES OF NON-COMPLIANCE WITH THIS POLICY

Failure to comply with this Policy will result in disciplinary proceedings in terms of TFG's Disciplinary Policy, which could result in the termination of employment with FRG/TFG. Further action may be taken which include but is not limited to the removal of the Representative from the Representative Register and the debarment of the Representative.

12. REMUNERATION PAYABLE BY TFG TO ITS REPRESENTATIVES

Remuneration structures for Representatives will take into account:

- Achievement of minimum service level standards.
- Delivery of fair outcomes for customers.
- Quality of the Representative's compliance with FAIS.

Remuneration will not be based on the quantity of business secured by the Representative to the exclusion of the quality of service which they deliver; and will not encourage or facilitate a Representative giving preference to a specific product where the Representative can recommend more than one product of a particular product supplier.

13. PUBLICATION

For a copy of this policy, please visit the TFG Insure website www.tfgfinancialservices.co.za or contact Customer Services at 0860 834 834, who will be able to provide you with a copy.



14. ASSOCIATES AND INTERESTS IN THIRD PARTIES

Associates:

- Foschini Retail Group Proprietary Limited is one of the subsidiaries of the JSE listed company, The Foschini Group Limited. FRG is the only financial services provider of the listed entity. As such, the other subsidiaries are not listed in this Policy because they have no involvement in financial services as regulated by the FAIS Act.

Third parties:

- FRG owns a specific class of shares in a special purpose insurance company with Guardrisk. FRG acknowledges that this relationship may be considered an ownership interest and therefore may create a potential conflict of interest. FRG has therefore incorporated appropriate disclosures into the customer journey.

15. POLICY OWNERSHIP

This policy is owned and administered by Group Legal Compliance.

16. POLICY GOVERNANCE

FOR VISIBILITY	DATE
Scott Brown: Managing Director, Financial Services	07 th May 2026
Jacques De Kock: Chief Operating Officer	14 th May 2026

Version date: May 2026
Next revision date: May 2027
Administrator: Ashmika Budoo Ram
Legal Compliance Specialist



GRC Policy/Document sign off 19/05/2026

<u>Document</u>	<u>Version</u>	<u>Signature</u>
TFG Insure Conflict of Interest Policy in terms of the Financial Advisory and Intermediary Services Act	May 2026	
		